interest on debentures. The Bank of Bombay had refused to grant further loans and the Central Bank too could have asked for repayment of its loan to TISCO, but Sorabji chose not too. In fact, he told R.D. Tata that if he took his advice the Central Bank would not be averse to advancing further loans. The bank soon became a source of credit for major industries and helped underwrite a number of new issues which included debentures of the Bombay Steam Navigation Company in 1923, Tata Hydro debentures in 1926, and Swadeshi Mills' preference shares in 1935.

GROWTH AND RECOGNITION

The Central Bank soon went from strength to strength. Recognition of the bank's trustworthiness came when the government decided to place it on the approved list of banks entitled to receive municipal deposits in the Presidency. The Bombay Municipality's Standing Committee deposited a few lakh rupees with the bank. However, it withdrew the money when the canard of the Central Bank having made generous advances against pearls was spread. But so emphatic was Sorabji's denial that not only did he receive an apology from the members of the Standing Committee but also received a sizeable sum in fixed deposits. There was still considerable prejudice against anything genuinely Indian and Sorabji knew that the bank's reputation had to be sedulously guarded.

The Central Bank opened a number of new branches in Bombay and elsewhere. In Bombay, as noted before, the bank opened branches in key centres like Mandvi, Zaveri Bazaar, Share Bazaar, Abdul Rehman Street, Sandhurst Road, Kalbadevi, and Bhuleshwar. It had opened a branch in Karachi in August 1913 and three years later, in 1916, a branch in Calcutta was set up. Later there were a total of four branches in Calcutta: Bara Bazar, New Market, Sham Bazar, and Bhawanipore.

The Central Bank's entry into Calcutta met with some opposition from the foreign banks who did not take kindly to competition and whose domination of the banking scene in Bengal was even greater than that of the nonindigenous banks in western India. Sorabji realized that there was immense potential in the rural areas and shaped his policies accordingly. Credit facilities to finance trade between the mofussil and Calcutta were difficult to come by and there was no regular bill market. It became